

HUGHES v FCA US, LLC, et al

24CV47640

DEFENDANT FCA'S MOTION FOR JUDGMENT ON THE PLEADINGS

This case involves a dispute over a vehicle warranty dispute between Andrew Hughes ("Plaintiff") and FCA US, LLC ("Defendant"). Now before the Court is Defendant's motion for judgment on the pleadings.

I. Facts

On or about September 21, 2022, Plaintiff entered into a warranty contract with Defendant regarding a 2022 Ram 1500 (hereafter "Vehicle"), manufactured and/or distributed by Defendant FCA. (Complaint ¶ 11, Ex. A.) The warranty was a "bumper to bumper warranty." (*Ibid.*) Plaintiff has primarily used the Vehicle for personal use. (*Id.* ¶ 12.) Within the applicable express warranty period, however, defects and nonconformities to warranty manifested themselves, including but not limited to, engine defects, transmission defects, and electrical defects.

Plaintiff alleges that Defendant knew since prior to Plaintiff purchasing the Vehicle, that the 2022 Ram 1500 vehicles equipped with the 5.7L engine had one or more defects that can result in loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine (the "Engine Defect"). (Complaint ¶ 19.) Plaintiff alleges that the Engine Defect is a safety concern because it can suddenly affect the driver's ability to control the vehicle or cause a non-collision vehicle fire, among other safety hazards. (*Id.* ¶ 20.)

II. Legal Standard

A motion for judgment on the pleadings serves the same function as a demurrer but is made after the time for demurrer has expired. (Code Civ. Proc., § 438(c)(2); *Cloud v. Northop Grumman Corp.* (1998) 67 Cal.App.4th 995, 999.) Except as provided by statute, the rules governing demurrers apply. (*Id.*) The court must accept as true the

factual allegations of the complaint and must give them a liberal interpretation. (*Gerawan Farming, Inc., v. Lyons* (2000), 24 Cal. 4th 468, 515-516.) In addition, the court is limited in its consideration to the face of the pleadings or matters entitled to judicial notice. (Code Civ. Proc. § 438(d).)

The Court notes that the motion is unopposed, which may be construed as an abandonment of the claim. (*Herzberg v. County of Plumas* (2005) 133 Cal.App.4th 1, 20.) However, the integrity of the judicial process requires the Court to subject every motion to review before granting. (California Judge's Benchbook: Civil Proceedings Before Trial § 6.20 (Thomson Reuters Mar. 2022 update).)

III. Discussion

Defendant moves for judgment on the pleadings as to Plaintiff's Sixth Cause of Action for Fraudulent Inducement- Concealment. Defendant moves on the grounds that the cause of action does not meet the heightened pleading requirements for fraud and based on the economic loss rule.

To establish a claim for fraudulent concealment, a plaintiff must plead and prove the following elements: (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) intent to defraud by intentionally concealing or suppressing the fact; (4) the plaintiff's lack of knowledge of the concealed or suppressed fact and resulting reliance; and (5) damages sustained as a direct result of the concealment or suppression. (*Hambridge v. Healthcare Partners Medical Group, Inc.* (2015) 238 Cal.App.4th 124, 162, quoting *Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 606.)

A cause of action for fraud based on nondisclosure or concealment must also establish that the defendant had a legal duty to disclose the withheld facts. (*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.* (2007) 157 Cal.App.4th 835, 845.) Absent a fiduciary relationship between the parties, courts recognize three circumstances where nondisclosure or concealment may constitute actionable fraud: (1) where the defendant possesses exclusive knowledge of material facts unknown to the plaintiff; (2) where the defendant actively conceals a material fact from the plaintiff; and (3) where the defendant makes partial representations while suppressing other material facts. (*Bigler-Engler v. Berg, Inc.* (2017) 7 Cal.App.5th 276, 311, quoting *LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.)

Here Plaintiff alleges that Defendant concealed the known Engine Defect from Plaintiff. Plaintiff alleges that Defendant had a duty to disclose this fact because it had superior knowledge of the fact due to “pre-production testing data, early consumer complaints about the Engine Defect made directly to FCA and its network of dealers, aggregate warranty data compiled from FCA’s network of dealers, testing conducted by FCA in response to these complaints, as well as warranty repair and part replacements data received by FCA from FCA’s network of dealers, amongst other sources of internal information.” (Complaint ¶ 67(a)(b).) Plaintiff alleges that in failing to inform Plaintiff of the Engine Defect, it intended to mislead Plaintiff. Plaintiff alleges it lacked any knowledge of the Engine Defect and relied on the representations made in Defendant’s materials (which did not disclose the Engine Defect) in purchasing the Vehicle. (*Id.* ¶ 70.) Finally, Plaintiff alleges that he suffered damages as a result of the concealment.

Defendant, however, argues that the claim is not pled with specificity, including the date, time and place of the concealment. However, “less specificity is required where the defendant necessarily possesses the information.” (*Bajaras v. Ford Motor Co.* 2025 Cal.Super.LEXIS 1185, *3-4, citing *Committee on Children’s Television, Inc. v. General Foods, Inc.* (1983) 35 Cal.3d. 197, 216-217.) Further, “it is not practical to require allegations of specific facts showing how, when, and by what means something did not happen.” (*Id.*) The Court finds the Plaintiff adequately pleads the elements of fraudulent concealment with enough particularity at this stage.

Defendant also argues that the claim is barred by economic loss rule. “The economic loss rule prohibits parties from recovering tort damages for what is essentially a breach of contract claim.” (*Sheen v. Wells Fargo Bank* (2022), 12 Cal.5th 905, 922.) The rule “requires a purchaser to recover in contract for purely economic loss due to disappointed expectations, unless he can demonstrate harm above and beyond a broken contractual promise.” (*Robinson Helicopter Co. v. Dana Corp.* (2004), 34 Cal.4th 979, 988.)

However, the economic loss doctrine does not apply “where the contract was fraudulently induced.” (*Erlich v. Menezes* (1999), 21 Cal.4th 543, 552.) Specifically, “concealment-based claims for fraudulent inducement are not barred by the economic loss rule.” (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 840.) This is because “a defendant’s conduct in fraudulently inducing someone to enter a contract is separate from the defendant’s later breach of the contract or warranty provisions that were agreed to.” (*Ibid.*) Here, Plaintiff’s claim for fraudulent inducement by concealment is based on pre-sale concealment of facts known solely by Defendant which were not conveyed to Plaintiff. (*Id.* [stating, “we decline to hold that plaintiffs’ fraud claim (based in part on presale concealment) is barred by the economic loss rule.”].)

Accordingly, and for all the foregoing reasons, the Defendant's Motion for Judgment on the Pleadings is **DENIED**.

The clerk shall provide notice of this ruling to the parties forthwith. No further formal Order is required.

UNIVERSITY CREDIT UNION v BERRY

25CVF15100

DEFENDANT’S MOTION FOR RELIEF FROM DEFAULT

This is an action for judicial foreclosure, breach of contract, and declaratory relief brought by University Credit Union (“Plaintiff”) against Yvonne L. Berry, individually and as the Trustee of the Yvonne L. Berry Trust Dated July 19, 2018 (“Defendant.”)

Now before the Court is Defendant’s Motion to Set Aside Default.

I. RELEVANT PROCEDURAL HISTORY

On March 25, 2025, Plaintiff filed a complaint against Defendant. Proof of service was filed on May 5, 2025, reflecting that Defendant had been served, by personal service, on March 31, 2025, by a registered California process server who signed the document under penalty of perjury.

On May 5, 2025, Plaintiff filed a request for entry of default judgment which was entered by the Court. On May 6, 2025 the Court entered a judgment after default, awarding Plaintiff a total judgment of \$38,925.39. It was further ordered that plaintiff is entitled to repossession of the solar energy system.

Defendant filed her motion for relief from default on June 27, 2025.

II. Legal Standard and Analysis

Code Civil Procedure section 473(d) authorizes the Court to vacate a judgment that is void while section 473(b) permits the Court to set aside a judgment entered because of mistake, inadvertence, surprise, or excusable neglect. Because courts favor resolution on the merits, “when a party in default moves promptly to seek relief, very slight evidence is required to justify a trial court’s order setting aside a default.” (*Shamblin v. Brattain* (1988) 44 Cal.3d 474, 478-479 [citation omitted].)